GE Vernova (GEV) | Earnings Brief

3Q26 results | 28 October 2026 | Post-call version | Energy / power segment | Josh

Executive snapshot

Consensus thesis	Investors own GE Vernova as the leading heavy-duty gas turbine supplier in a market mostly sold out through 2030, paying for pricing, services and a margin path to 20% by 2028, with credit not in debate.
Thesis status	**Strengthening**
Versus expectations	Quarter: beat. Revenue $12.6bn vs $12.0bn consensus (+5%); adjusted EBITDA $1.94bn vs about $1.7bn to $1.8bn; EPS $4.81 vs $4.17 (Yahoo); orders $29.3bn vs $22.2bn (+32%). One miss: 11 GW of gas signed vs BofA's 13 GW. Outlook: above. FY26 revenue, margin and FCF raised; FCF guide of $16bn to $17bn vs $12.07bn consensus.
Biggest changes	1. Pricing is showing up in margin faster than modeled: Power segment EBITDA margin 21.4% vs a 17% to 18% guide, and management says 2H26 is the right base for 2027. FY26 gas pricing per kW is about 50% above 2025. 2. Backlog quality improved while the headline GW pace slowed: 13 GW of SRAs converted to firm orders, so gas backlog (64 GW) now exceeds SRAs (58 GW); only 11 GW was newly signed. Year-end target raised to at least 130 GW, the bottom of the 130 to 140 GW the market wanted. 3. Cash is now customer-funded on a large scale: current contract liabilities $45.7bn (+$5.7bn QoQ) are 2.7x the $16.8bn cash balance, and about $5.3bn of 3Q FCF of $5.4bn came from working capital. FY26 FCF guide raised to $16bn to $17bn. 4. Capital deployment stepped up: $9.0bn Trench Group deal (13x 2028E EBITDA, about half debt, close late 2027) and the buyback doubled to $20bn ($10.1bn remaining). 5. Credit improved before the print: Fitch upgraded GEV to A- (stable) on 12 August, which the preview card missed; S&P is BBB, positive outlook.
Investor takeaway	**The consensus view holds and should move up: pricing is converting to margin a year ahead of the 2028 frame, but a growing share of the cash that funds buybacks and Trench is customer down payments, so the 2027 FCF bridge is now the main open question for equity and credit.**
Monitor next quarter	• 4Q gas GW signed (management: modestly above 3Q's 11 GW) and whether year-end GW under contract clears 130 GW. • January call: FY27 guide, especially FCF as down payments unwind, and the Capital Markets Day date with a 2030 frame. • 4Q price per kW (guided lower on fewer aeroderivatives) and Electrification data center orders after a softer 3Q (about $1.4bn vs about $2.7bn in 2Q).

Pillar scorecard

Pillar	Market assumed	Quarter showed	Verdict
P1 Gas slots sold out	Mostly sold out through 2030; 3Q GW signed about 13 GW (BofA); year-end target raised toward 130-140 GW	11 GW signed (8 SRA, 3 orders), 13 GW converted, 5 GW shipped; 122 GW under contract; target at least 130 GW; 2032 slots selling	Confirmed
P2 Pricing power	2H26 orders at high end of +10-20 pts vs 4Q25	3Q orders priced more than 20% above 4Q25; FY26 price per kW about +50% vs 2025; 4Q price per kW lower on mix	Confirmed
P3 Orders and backlog	Orders about $22.2bn; RPO toward about $200bn in 2027	Orders $29.3bn; RPO $196.7bn (+$20.4bn QoQ); above $200bn expected in 4Q26, a year early	Confirmed
P4 Cash and capital return	FY26 FCF about $12bn funds buybacks; IG balance sheet	FY26 FCF guide $16-17bn; buyback to $20bn; Trench half debt; Fitch A-. FY27 FCF not addressed	Confirmed (FY27 unresolved)
P5 Margin path to 2028	Adjusted EBITDA margin 12-14% in FY26 rising to 20% by 2028	3Q 15.4%; FY guide 13.5-14.5%; implied 4Q about $2.2-2.8bn; Wind positive at $72mn	Confirmed

Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Orders	$29.3bn	$24.2bn	$14.6bn	[↑] / [↑]	+21% / +96% organic
Revenue	$12,642mn	$11,104mn	$9,969mn	[↑] / [↑]	+14% / +27%
Adjusted EBITDA margin	15.4%	11.3%	8.1%	[↑] / [↑]	+410bp / +730bp
Free cash flow	$5,409mn	$5,107mn	$732mn	[~] / [↑]	9M $15,307mn
RPO (backlog)	$196,721mn	$176,284mn	$135,269mn	[↑] / [↑]	+$20.4bn / +45%
Power revenue / margin	$6,067mn / 21.4%	$5,477mn / 18.8%	$4,863mn / 13.4%	[↑] / [↑]	+800bp YoY
Electrification revenue / margin	$3,862mn / 19.1%	$3,637mn / 18.4%	$2,565mn / 15.1%	[↑] / [↑]	Prolec in 2026
Gas GW under contract	122 GW	116 GW	n.a.	[~] / [?]	Backlog 64, SRA 58
Gas GW signed (SRA + orders)	11 GW	20 GW	n.a.	[↓] / [?]	13 GW converted
Contract liabilities (current)	$45,669mn	$39,944mn	n.a.	[↑] / [?]	+$19.9bn YTD
Cash incl. restricted	$16,764mn	$13,120mn	n.a.	[↑] / [?]	Net cash $13.9bn

Guidance

Metric	FY26 guidance	vs prior	vs consensus
Revenue	$46.5-47.5bn	Raised from $45.5-46.5bn	Above $46.22bn
Adj. EBITDA margin	13.5-14.5%	Raised from 12-14%	Above
Free cash flow	$16-17bn	Raised from $11.5-12.5bn	Well above $12.07bn
Gas GW under contract	At least 130 GW at year-end	Raised from at least 125 GW	Bottom of 130-140 GW (BNP)

Top risks and analyst focus

- **Cash quality: down-payment reversal** (Up): FY27 FCF could fall sharply as units ship; buyback and Trench draw on customer cash
- **Gas signing pace and cycle** (Stable): Net GW now grows only by signings minus about 5 GW/qtr shipped
- **M&A and leverage** (New): Still net cash and below 1x debt/EBITDA; integration on top of Prolec

Trevor: analysts pressed on whether 2H26 Power margins are the 2027 base and on SRA conversion; only Arcaro touched customer financing, and nobody asked about the down-payment unwind or FY27 FCF. Answers were mostly direct; 2030 targets were deferred to a Capital Markets Day.

Monitoring, questions and Kona read-through

Five signals: 4Q GW signed vs 11 GW and year-end vs 130 GW; FY27 FCF guide and contract-liability trend; Price per kW in 4Q vs 3Q (mix-adjusted); Electrification data center orders vs about $1.4bn in 3Q; Trench regulatory path and any change to buyback pace.

Questions for owners: (1) Contract liabilities are $45.7bn against $16.8bn of cash and 3Q working capital was about $5.3bn of $5.4bn FCF. How much of the deposit balance reverses in 2027, what is the FY27 FCF floor, and what minimum cash will you hold after Trench and a $20bn buyback? (2) What share of the 58 GW of SRAs sits with non-investment-grade data center sponsors, and how much of each reservation fee is non-refundable? (3) 3Q pricing was 'more than 20%' above 4Q25, the same phrase as H1. What was the like-for-like heavy-duty price change from 2Q to 3Q, and how do 2029-2030 slots price vs 2027?

Read-across for Kona: GE Vernova is pricing 2026 gas equipment about 50% per kW above 2025 and still takes cash down payments with 'no change in cash terms', so Kona should assume equipment deposits are equity-funded and prices keep rising until 2030 capacity arrives. Aeroderivatives are being absorbed fast (127 ordered in 9M26 vs 45 a year earlier), so Kona should lock engine or aero slots now with refundable deposits and delivery damages; its off-grid design also sidesteps the high-voltage grid gear shortage behind the Trench deal.